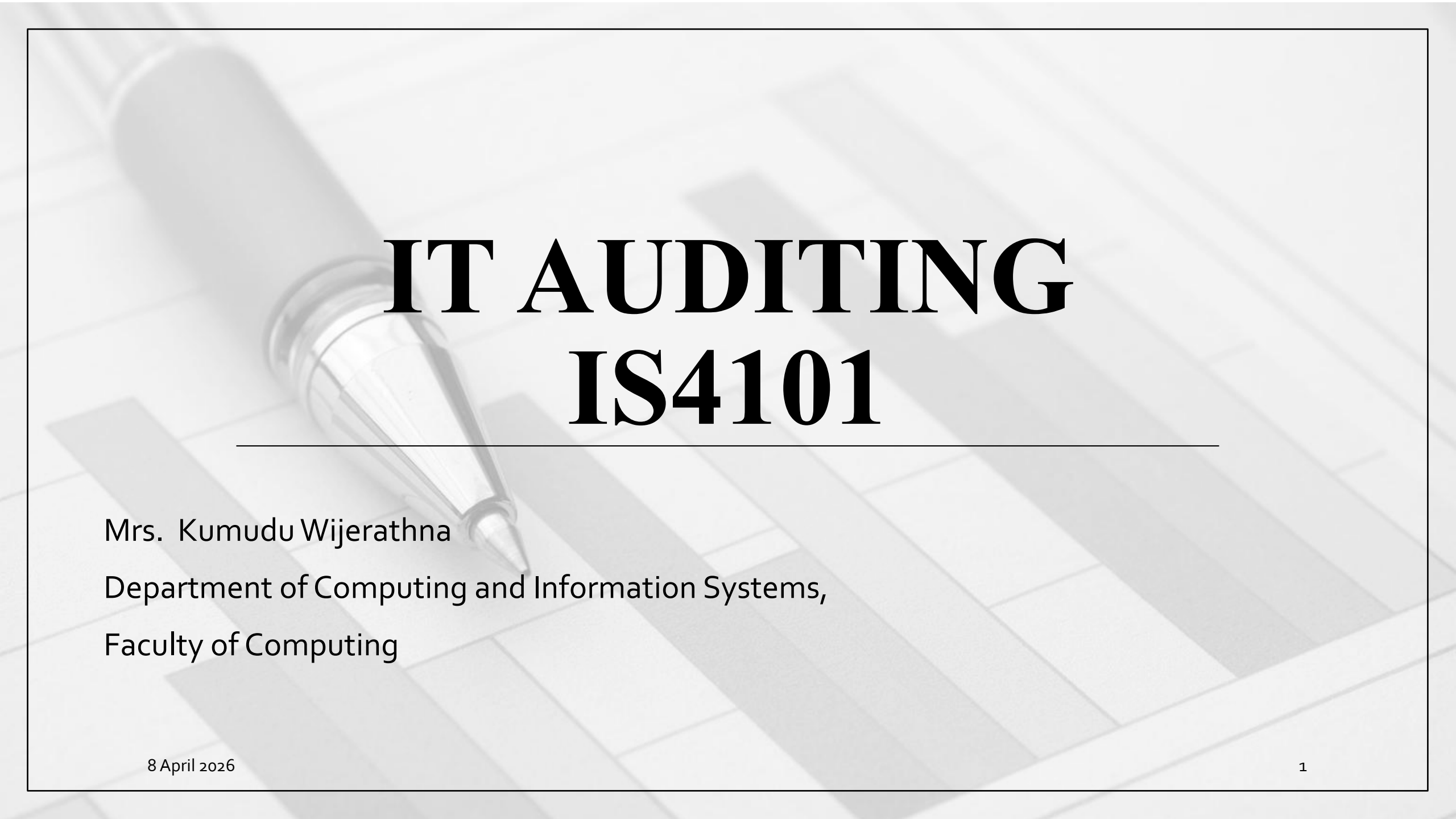


The background of the slide features a grayscale image of a silver pen resting on a document with a grid pattern, resembling a spreadsheet or ledger. The pen is positioned diagonally from the top left towards the center. The grid lines are light gray and intersect to form a series of rectangles across the page.

IT AUDITING IS4101

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Lesson Learning Outcome

By the end of this lesson, you will be able to,

- Understand the IT audit process
- Apply audit phases to a real-world situation

Content

- IT Audit Process

Conceptual phases of auditing

1. Audit planning
2. Tests of controls
3. Substantive testing

1. Audit planning

- Auditor must gain a thorough understanding of the client's business
- The auditor's objective is to **obtain sufficient information about the firm** to plan the other phases of the audit.
- A major part of this phase of the audit is the **analysis of audit risk**.
- The risk analysis incorporates an overview of the **organization's internal controls**.

1. Audit planning

- During the review of controls, the auditor attempts to understand the organization's policies, practices, and structure.
- The techniques for gathering evidence at this phase include conducting questionnaires, interviewing management, reviewing systems documentation, and observing activities.
- During this process, the IT auditor must identify the principal exposures and the controls that attempt to reduce these exposures.

2. Tests of Controls

- The objective of the tests of controls phase is to determine whether adequate internal controls are in place and functioning properly.
- To accomplish this, the auditor performs various tests of controls.
- The evidence-gathering techniques used in this phase may include both manual techniques and specialized computer audit techniques.

2. Tests of Controls

- At the conclusion of the tests-of-controls phase,
 - the auditor must assess the quality of the internal controls by assigning a level for control risk.

3. Substantive Testing

- The third phase of the audit process focuses on financial data.
- This phase involves a detailed investigation of specific account balances and transactions through what are called substantive tests.
- Based on such sample findings, the auditor is able to draw conclusions about the fair value of the entire accounts receivable asset.

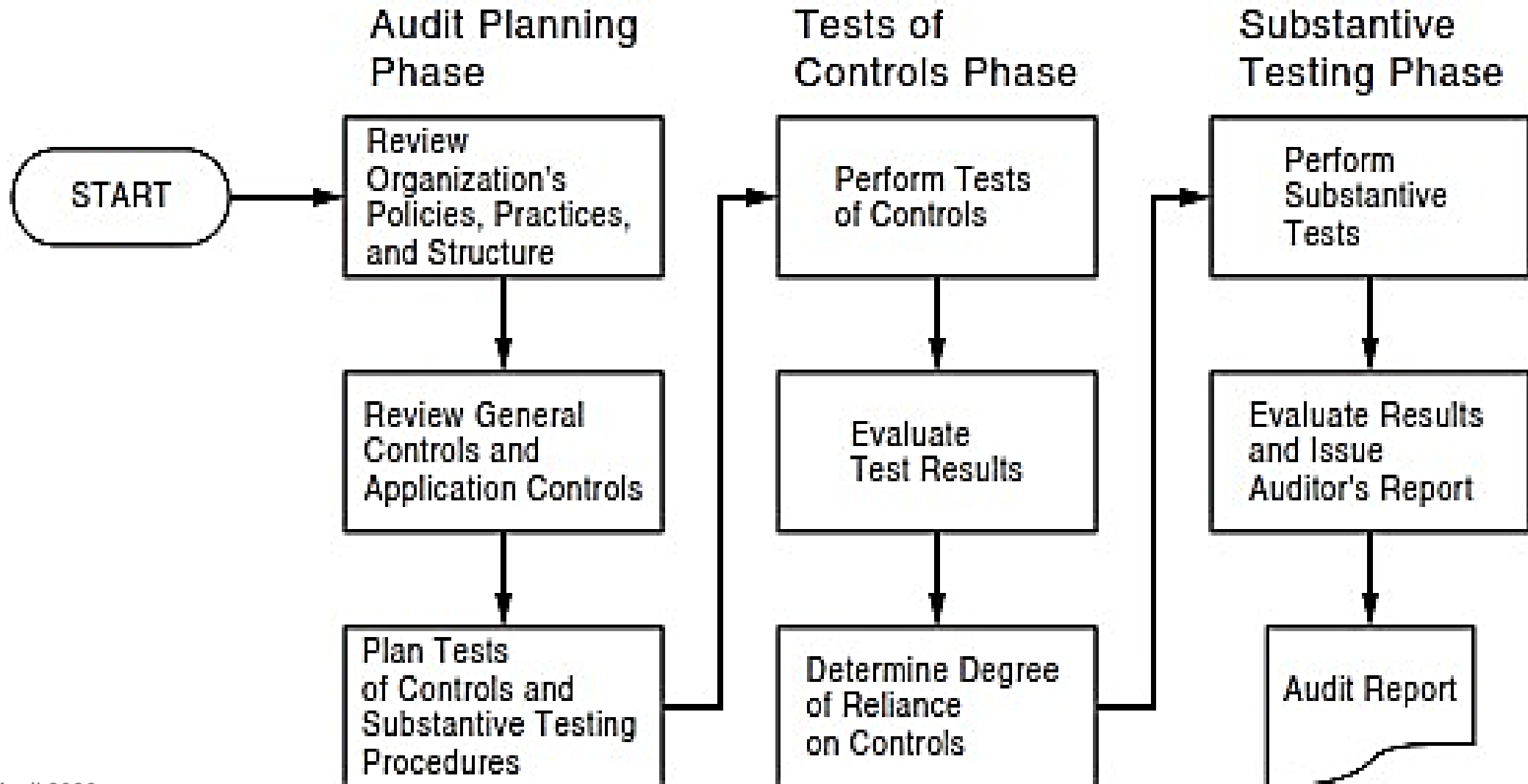
3. Substantive Testing - Example,

- A customer confirmation is a substantive test sometimes used to verify account balances.
- The auditor selects a sample of accounts receivable balances and traces these back to their source - the customers - to determine if the amount stated is in fact owed by a bona fide customer.
- By so doing, the auditor can verify the accuracy of each account in the sample.

3. Substantive Testing

- Some substantive tests are physical, labor-intensive activities, such as counting cash, counting inventories in the warehouse, and verifying the existence of stock certificates in a safe.
- In an IT environment, the data needed to perform substantive tests (such as account balances and names and addresses of individual customers) are contained in data files that often must be extracted using Computer - Assisted Audit Tools and Techniques (CAATTs) software.

Phases of an IT Audit - Summary



Time to remember

1. What are the five components of COSO framework?
2. Control activities can be grouped into two distinct categories: physical controls and information technology (IT)
 - i. State 6 physical control activities.
 - ii. State 2 IT control activities.

What are the five components of COSO framework?

- Control environment
- Risk assessment
- Control activities
- Information and Communication
- Monitoring activities

Physical control activities

- Transaction authorization
- Segregation of duties
- Supervision
- Accounting records
- Access controls
- Independent verification

IT control activities

- General control
- Application control

Thank you